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CREDITORS

ADJUSTMENT BUREAU, INC. v. CHAMPION POWER EQUIPMENT, INC.

CASE NO.: 23NWCV00682

HEARING: 06/30/2026 @ 10:30 AM

#20

TENTATIVE ORDER

I.

Plaintiff Creditors Adjustment Bureau,
Inc.'s motion for monetary sanctions is DENIED.

II.

Defendant Champion Power Equipment,
Inc.'s motion for discovery sanctions is DENIED.

Plaintiff to give notice.

There are two motions on calendar: (1) Plaintiff Creditors Adjustment Bureau, Inc. (Plaintiff) moves for monetary sanctions pursuant to Code of Civil Procedure section 128.7 against Defendant Champion Power Equipment, Inc. (Defendant) and its counsel of record and (2) Defendant moves for monetary discovery sanctions against Plaintiff and its counsel of record.

Background

Plaintiff filed the operative second amended complaint (SAC) against Champion Power Equipment, Inc., a terminated California Corporation, Champion Power Equipment, Inc., a Nevada Corporation, and Does 1 through 10 on September 5, 2024. The SAC alleges that Plaintiff is a collection agency and was assigned this claim from China Export & Credit Insurance Corporation (CECIC) for collection. (SAC, ¶ 6.) Plaintiff seeks to collect a debt based on eight unpaid invoices totaling \$401,760 (Debt) for goods that were sold to Defendant. (SAC, ¶ 7.) The SAC alleges three assignments took place prior to the commencement of this action: (1) Suzhou Warrior Machinery Co., Ltd. (Warrior), an agent of the manufacturer of the subject goods Suzhou Aavix Garden Equipment Co. Ltd. (Aavix), assigned its rights to Aavix, (2) Aavix assigned its rights to CECIC, and (3) CECIC assigned its rights to Plaintiff. (SAC, ¶¶ 8-11, Exhs. 1-3.) The complaint asserts five causes of action: (1) breach of contract, (2) goods sold and delivered, (3) open book account, (4) account stated, and (5) reasonable value.

On August 5, 2025, Defendant's Motion for Issuance of an OSC re Dismissal came on for hearing, and the Court continued the matter to August 27, 2025 to be heard concurrently with Defendant's demurrer.

On August 13, 2025, Plaintiff filed a Request for Dismissal as to the entire action without prejudice. On August 28, 2025, Defendant filed a Memorandum of Costs.

On January 20, 2026, Plaintiff filed its motion for sanctions.

On January 22, 2026, the Court denied Defendant's motion for orders vacating the Request for Dismissal without prejudice filed by Plaintiff; (2) awarding monetary sanctions against Plaintiff's counsel discovery abuses; and (3) dismissing the SAC with prejudice.

On February 23, 2026, Defendant filed its motion for sanctions.

On May 28, 2026, the Court, due to its congested calendar, continued the two instant motions for sanctions to today's date.

Plaintiff's Motion for Sanctions (Code of Civil

Legal Standard

“By presenting to the court, whether by signing, filing, submitting, or later advocating, a pleading, petition, written notice of motion, or other similar paper, an attorney or unrepresented party is certifying that to the best of the person’s knowledge, information, and belief, formed after an inquiry reasonable under the circumstances, all of the following conditions are met:

(1) It is not being presented primarily for an improper purpose, such as to harass or to cause unnecessary delay or needless increase in the cost of litigation.

(2) The claims, defenses, and other legal contentions therein are warranted by existing law or by a nonfrivolous argument for the extension, modification, or reversal of existing law or the establishment of new law.

(3) The allegations and other factual contentions have evidentiary support or, if specifically so identified, are likely to have evidentiary support after a reasonable opportunity for further investigation or discovery.

(4) The denials of factual contentions are warranted on the evidence or, if specifically so identified, are reasonably based on a lack of information or belief.

(Code Civ. Proc., § 128.7, subd. (b).) “If...the court determines that subdivision (b) has been violated, the court may...impose an appropriate sanction upon the attorneys, law firms, or parties that have violated subdivision (b) or are responsible for the violation.” (Code Civ. Proc., § 128.7, subd. (c).) “A motion for sanctions under this section shall be made separately from other motions or requests and shall describe the specific conduct alleged to violate subdivision (b). Notice of motion shall be served as provided in Section 1010, but shall not be filed with or presented to the court unless, within 21 days after service of the motion, or any other period as the court may prescribe, the challenged paper,

claim, defense, contention, allegation, or denial is not withdrawn or appropriately corrected.” (Code Civ. Proc., § 128.7, subd. (c)(1).)

Code of Civil Procedure section 128.7 should only be utilized in “the rare and exceptional case where the action is clearly frivolous, legally unreasonable or without legal foundation, or brought for an improper purpose.” (Kumar v. Ramsey (2021) 71 Cal.App.5th 1110, 1121, citing Operating Engineers Pension Trust v. A-C Co. (9th Cir. 1988) 859 F.2d 1336, 1344.) “Because our adversary system requires that attorneys and litigants be provided substantial breathing room to develop and assert factual and legal arguments, [section 128.7] sanctions should not be routinely or easily awarded even for a claim that is arguably frivolous [citations], and instead should be made with restraint.” (Kumar, supra, 71 Cal.App.5th at p. 1344, citing Peake v. Underwood (2014) 227 Cal.App.4th 428, 448.) “A trial court is to apply an objective standard in making its inquiry concerning the attorney's or party's allegedly sanctionable behavior in connection with a motion for sanctions brought under section 128.7.” (Optimal Markets, Inc. v. Salant (2013) 221 Cal.App.4th 912, 921.)

Request for Judicial Notice

Defendant requests the Court take judicial notice of a transcript of proceedings on May 11, 2026 in Creditors Adjustment Bureau, Inc. v. Champion Power Equipment, Inc., LASC Case No. 25NWCV03878.

Defendant's request for judicial notice is GRANTED pursuant to Evidence Code section 452, subd. (d). (See Hart v. Darwish (2017) 12 Cal.App.5th 218, 224-25 [“transcripts are ‘[r]ecords’ of a ‘court of this state.’”].)

Discussion

Plaintiff moves for sanctions pursuant to Code of Civil Procedure section 128.7 against Defendant and Defendant's counsel, David P. King and Sheng Jin in the amount of \$8,700.

Plaintiff moves on the grounds that Defendant's filing of its Notice of Motion and Motion for Orders: (1) Vacating Plaintiff's Request for Dismissal Without Prejudice; (2) Awarding Monetary Sanctions Against Plaintiff's Counsel for Discovery Abuses; and (3) Dismissing the Second Amended

Complaint With Prejudice (Motion for Orders) was filed for an improper purpose and is not warranted by existing law or the evidentiary record.

As an initial matter, Plaintiff complies with the 21-day safe harbor provision. Plaintiff first served this motion on Defendant on December 23, 2025, and then filed this motion on January 20, 2026. (Brown Decl., ¶ 8.) The Court notes that it retains jurisdiction to consider Plaintiff's motion for sanctions. "Even after a party is dismissed from the action he may still have collateral statutory rights which the court must determine and enforce. These include the right to statutory costs and attorneys fees and the right to notice and hearing on a motion to set aside the dismissal." (Frank Annino & Sons Construction, Inc. v. McArthur Restaurants, Inc. (1989) 215 Cal.App.3d 353, 357; Day v. Collingwood (2006) 144 Cal.App.4th 1116, 1124-26 [finding trial court has jurisdiction to consider a postjudgment motion for sanctions].) The Court therefore considers the merits of this motion.

"A claim is factually frivolous if it is 'not well grounded in fact' and is legally frivolous if it is 'not warranted by existing law or a good faith argument for the extension, modification, or reversal of existing law.' In either case, to obtain sanctions, the moving party must show the party's conduct in asserting the claim was objectively unreasonable. A claim is objectively unreasonable if any reasonable attorney would agree that it is totally and completely without merit." (Bucur v. Ahmad (2016) 244 Cal.App.4th 175, 189.)

Plaintiff argues that Defendant's Motion for Orders was an attempt "to leverage collateral sanctions and dismissal with prejudice relief to obtain a litigation advantage and fee-shifting outcome, rather than litigate the underlying commercial debt on the merits." (Mot., 4:27-28, 5:1.) Plaintiff argues that Defendant consistently shifted the litigation of this case away from the merits and into issues of standing by arguing that Plaintiff lacked standing based on prior errors regarding the chain of assignments. Plaintiff contends that the improper purpose is clear as Defendant was aware about the voluntary dismissal and that "that CAB had repeatedly disclosed and explained the assignment chain and its limited collection role, and that CAB's new action attaches the relevant contract and assignment documentation." (Mot., 5:23-25.)

In opposition, Defendant first describes an alleged connection between Plaintiff and a Chinese entity. This argument is outside of

the scope of the pleadings, not relevant to this motion, and relies on evidence that is not properly before this Court. The Court does not consider this argument.

Defendant further argues that Plaintiff made sham pleadings regarding the standing issue. Defendant cites to a declaration by Lu Xiaochu, a purported sales manager of Warrior and Aavix, admitting to backdating written assignments. Defendant argues that this evidence, as well as the changes in the amended pleadings, constitute evidence that shows that the Motion for Orders was not frivolous. Defendant argues that it was reasonable for it to seek to litigate the issue of standing before reaching the merits of this action. "A litigant's standing to sue is a threshold issue to be resolved before the matter can be reached on the merits." (*Blumhorst v. Jewish Family Services of Los Angeles* (2005) 126 Cal.App.4th 993, 1000.)

Defendant additionally contends that the Court has authority to dismiss an action with prejudice and that Defendant properly raise this argument based on a good faith argument.

A plaintiff may voluntarily dismiss an action "at any time before the actual commencement of trial, upon payment of the costs, if any." (Code Civ. Proc., § 581, subd. (b)(1).) "But '[t]he right of a plaintiff to voluntarily dismiss an action before commencement of trial is not absolute.'" (*Cole v. Hammond* (2019) 37 Cal.App.5th 912, 921.) "The meaning of the term 'trial' is not restricted to jury or court trials on the merits, but includes other procedures that 'effectively dispose of the case.'" (*Id.* at p. 921.) Defendant argues that its contentions in the Motion for Orders had merit it introduced evidence and the introduction of evidence can be considered the commencement of trial. (Code Civ. Proc., § 581, subd. (a)(6).)

Here, Plaintiff does not show that "any reasonably attorney" would find Defendant's Motion for Orders "totally and completely without merit." (*Bucur, supra*, 244 Cal.App.4th at p. 189.) While Plaintiff takes issue with the fact that Defendant's Motion for Orders sought to vacate the dismissal without prejudice and dismiss the action with prejudice, this same issue has been the subject of proper litigation before. (*Cole, supra*, 37 Cal.App.5th at p. 920-21.) Here, the procedural history, with the continuance of the demurrer, the voluntary dismissal, and then the Motion for Issuance of an OSC raised legitimate questions as to

whether a trial could have been found to have commenced, thereby cutting off Plaintiff's statutory right to dismiss. These questions then formed the basis of the Court's analysis in ruling on the Motion for Orders.

Moreover, as raised by Defendant, it had reason to suspect that Plaintiff lacked standing based on changes in the pleadings and statements made an associate of Warrior and Aavix. Defendant argues that its Motion for Orders was an attempt to argue that Plaintiff lacked standing. Defendant refers to *Lyons v. Wickhorst* (1986) 42 Cal.3d 911, 915 to show that the Court has power to dismiss a claim with prejudice if "the complaint has been shown to be "fictitious or sham" such that the plaintiff has no valid cause of action." The Court finds that Defendant sufficiently shows that the contentions made in its Motion for Orders were reasonable. "[T]he evidentiary burden to escape sanctions under section 128.7 is light. [Defendant] must make a sufficient evidentiary showing to demonstrate that [it] made a reasonable inquiry into the facts and entertained a good faith belief in the merits of the claim. [Defendant] need not amass even enough evidence to create a triable issue of fact." (Kumar, supra, 71 Cal.App.5th at p. 1126.) The Court finds that Defendant meets this low standard and thus escapes sanctions under Code of Civil Procedure section 128.7.

Accordingly, Plaintiff's motion for sanctions is DENIED.

Defendant's Motion for Discovery Sanctions

Legal Standard

"The court may impose a monetary sanction ordering that one engaging in the misuse of the discovery process, or any attorney advising that conduct, or both pay the reasonable expenses, including attorney's fees, incurred by anyone as a result of that conduct. The court may also impose this sanction on one unsuccessfully asserting that another has engaged in the misuse of the discovery process, or on any attorney who advised that assertion, or on both. If a monetary sanction is authorized by any provision of this title, the court shall impose that sanction unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust." (Code Civ. Proc., § 2023.030, subd. (a).)

Under Code of Civil Procedure sections 2031.310, subdivision (h) and 2030.300, subdivision (d), "[t]he court shall impose a monetary

sanction...any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a further response to interrogatories [or demand], unless it finds that the one subject to the sanction acted with substantial justification or that other circumstances make the imposition of the sanction unjust.”

Discussion

Defendant moves for monetary discovery sanctions against Plaintiff and its counsel of record. Specifically, Defendant seeks monetary sanctions in connection with (1) Plaintiff's Motion to Compel Further Discovery to the First Set of Requests for Production of Documents (RPDs), (2) Plaintiff's Motion to Compel Further Discovery to the First Set of Special Interrogatories (SROGs), and (3)) Plaintiff's Motion to Compel Further Discovery to the First Set of Form Interrogatories (FROGs) (collectively, Motions to Compel Further Discovery), which were each filed on January 19, 2024.

Defendant moves for monetary sanctions on the basis that Plaintiff's Motions to Compel Further Discovery were frivolous as Plaintiff withdrew each motion after Defendant opposed the Motions to Compel Further Discovery on the grounds that Plaintiff lacked standing and brought the motions in bad faith.

Jurisdiction

Defendant argues the Court retains jurisdiction to impose discovery sanctions against Plaintiff despite the voluntary dismissal without prejudice.

As noted in Plaintiff's motion for sanctions, despite the general rule that a voluntary dismissal deprives the Court of both subject matter jurisdiction and personal jurisdiction, “ [c]ourts have ... held jurisdiction is retained postdismissal and postjudgment to decide motions for sanctions.” (Manhan v. Gallagher [Manhan] (2021) 62 Cal.App.5th 504, 509, citations omitted.)

Defendant cites to Manhan as an example of the Court's jurisdiction. In Manhan, following a trial court's order granting motions to compel and awarding a plaintiff monetary sanctions, the plaintiff dismissed the entire action without prejudice. (Manhan, supra, 62 Cal.App.5th at p. 506-07.) On the same date of the dismissal, the defendant

subject to the sanctions order filed a motion for reconsideration or to set aside the sanctions order on the grounds that the plaintiffs did not incur attorney's fees because they were being represented pro bono. (Id., at p. 507.) The Court of Appeal concluded that "a trial court's authority to reconsider sanctions survives even after a plaintiff voluntarily dismisses an action." (Id., at p. 510.) The Court of Appeal specifically noted that this was "consistent with critical functions that reconsideration performs, such as allowing courts to correct errors and thereby prevent miscarriages of justice, and pressuring litigants to use great care in presenting motions and ascertaining the facts." (Ibid.) Unlike in *Manhan*, here, the issue is not a reconsideration of an order imposing monetary sanctions.

In another case cited by Defendant, *City of Los Angeles v. PricewaterhouseCoopers, LLP* [PricewaterhouseCoopers] (2024) 17 Cal.5th 46, 58-59 the Supreme Court of California upheld an order granting monetary sanctions for discovery abuses after a voluntary dismissal. The Court does not address the jurisdiction issue but rather notes that the Court of Appeal rejected the argument based on lack of jurisdiction. (Id., at p. 58.) However, upon review, unlike in this action, in *PricewaterhouseCoopers*, the trial court had ruled on many discovery motions and "[t]hroughout the pretrial proceedings, PwC had raised the possibility of discovery sanctions, but the trial court had instructed PwC to wait until the close of discovery to move for sanctions so the court could address the motions on a complete record." (Id., at p. 56.) Here, this Court has not ruled on any discovery motions.

Even if the Court retains jurisdiction as a collateral issue, the Court finds that monetary sanctions are not warranted. None of the cases cited by Defendant are on point, either involving different types of motions or sanctions associated with discovery motions that were heard prior to the sanctions motions. Here, Defendant seeks monetary sanctions for discovery motions that were filed over two years ago and withdrawn on September 30, 2024. To the extent that Defendant argues that the motions are frivolous, they were taken off calendar prior to any hearings. To the extent that Defendant argues that sanctions were mandatory under Code of Civil Procedure sections 2031.310, subdivision (h) and 2030.300, subdivision (d), the Court does not agree. Sanctions are mandatory when a party is "unsuccessful," absent substantial justification. (Code Civ. Proc., §§ 2031.310, subd. (h), 2030.300, subd. (d).) Here, neither party was "unsuccessful," as the Motions to Compel Further were never heard.

The Court therefore finds that the imposition of monetary sanctions arising out of the Motions to Compel Further, requested after the Motions to Compel Further were withdrawn and again following Plaintiff's voluntary dismissal of this action, is not warranted and unnecessarily punitive. "The sanctions the court may impose are such as are suitable and necessary to enable the party seeking discovery to obtain the objects of the discovery he seeks but the court may not impose sanctions which are designed not to accomplish the objects of discovery but to impose punishment." (Fairfield v. Superior Court for Los Angeles County (1966) 246 Cal.App.2d 113, 120.)

Accordingly, Defendant's motion for discovery sanctions is DENIED.